IB Economics - Topic 2.7: Teacher and AI Grading Guide

Role of Government in Microeconomics | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. Questions 1-40 are SL/HL. Questions 41-45 cover HL-only consumer nudges and 46-50 HL-only numerical effects of intervention. Difficulty: 10 Easy, 25 Medium and 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Current IB Topic 2.7 includes reasons for intervention; ceilings, floors, indirect taxes, subsidies, direct provision and command-and-control regulation; impacts on markets and stakeholders. Consumer nudges and calculations of price controls/taxes/subsidies are HL only.

Uploaded older IB textbook Chapter 4 provides diagrams of taxes, subsidies and price controls. Its chapter order and policy details are checked against the current IB Topic 2.7 specification.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Intervention aims: 1-4

Ceilings: 5-10

Floors: 11-16

Indirect taxes: 17-22

Subsidies: 23-28

Direct provision and regulation: 29-36

Stakeholders: 37-40

HL nudges: 41-45

HL calculations: 46-50

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

For price controls mark binding regulated P relative to P*, Qd and Qs and shortage/surplus. For taxes show old and new equilibrium, shifted supply, Pc/Pp wedge and Q. For subsidies reverse wedge direction. Calculate totals using post-intervention quantity, and distinguish prices paid/received. Credit equivalent clear labels.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 2.7: Reasons

(a) [10] Explain two reasons a government may intervene in a market.

(b) [15] Using real-world examples, discuss whether intervention can pursue more than one objective at once.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Revenue and support may coincide, but objectives can conflict.

Expected diagram or calculation. No compulsory diagram for a general motive; a diagram may explain a named instrument.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes reasons from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue and support may coincide, but objectives can conflict.

Counterargument and conditions. Objectives can conflict; identify which group and market outcome a policy targets.

Application and real-world example. UK minimum wage, soft-drink levy, and NHS services are contrasting interventions.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 2.7: Reasons

(a) [10] Explain why governments might seek to reduce consumption of one good and increase consumption of another.

(b) [15] Using real-world examples, evaluate whether changing consumption is a sufficient reason for intervention.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Different goods may involve external costs or benefits, but objectives need evidence.

Expected diagram or calculation. No compulsory diagram for a general motive; a diagram may explain a named instrument.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes reasons from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different goods may involve external costs or benefits, but objectives need evidence.

Counterargument and conditions. Objectives can conflict; identify which group and market outcome a policy targets.

Application and real-world example. UK minimum wage, soft-drink levy, and NHS services are contrasting interventions.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 2.7: Reasons

(a) [10] Explain how concern for equity can motivate government intervention.

(b) [15] Using real-world examples, discuss whether a more equitable outcome necessarily increases market efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Distributional goals may differ from surplus maximisation.

Expected diagram or calculation. No compulsory diagram for a general motive; a diagram may explain a named instrument.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes reasons from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Distributional goals may differ from surplus maximisation.

Counterargument and conditions. Objectives can conflict; identify which group and market outcome a policy targets.

Application and real-world example. UK minimum wage, soft-drink levy, and NHS services are contrasting interventions.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 2.7: Reasons

(a) [10] Explain how government intervention can support producers or low-income households.

(b) [15] Using real-world examples, evaluate whether one intervention can effectively support both groups.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. The chosen mechanism determines which stakeholder benefits.

Expected diagram or calculation. No compulsory diagram for a general motive; a diagram may explain a named instrument.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes reasons from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The chosen mechanism determines which stakeholder benefits.

Counterargument and conditions. Objectives can conflict; identify which group and market outcome a policy targets.

Application and real-world example. UK minimum wage, soft-drink levy, and NHS services are contrasting interventions.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 2.7: Price ceiling

(a) [10] Using an appropriate diagram, explain how a binding price ceiling creates a shortage.

(b) [15] Using real-world examples, discuss whether a maximum price always improves affordability for all consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Ceiling below P* gives Qd>Qs; some buyers gain lower price, others cannot buy.

Expected diagram or calculation. Draw D down and S up, P ceiling below P*, Qd>Qs horizontal shortage; label old E.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price ceiling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Ceiling below P* gives Qd>Qs; some buyers gain lower price, others cannot buy.

Counterargument and conditions. If non-binding there is no modelled effect; if binding access, quality and long-run supply matter.

Application and real-world example. UK 2022 Energy Price Guarantee caps specified unit rates, though financing and market design differ from simple ceiling.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 2.7: Price ceiling

(a) [10] Explain why a price ceiling set above equilibrium has no direct effect on the market outcome.

(b) [15] Using real-world examples, evaluate whether the existence of a legal maximum proves it constrains prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Non-binding cap exceeds market-clearing P, so transactions unchanged under model.

Expected diagram or calculation. Draw D down and S up, P ceiling below P*, Qd>Qs horizontal shortage; label old E.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price ceiling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Non-binding cap exceeds market-clearing P, so transactions unchanged under model.

Counterargument and conditions. If non-binding there is no modelled effect; if binding access, quality and long-run supply matter.

Application and real-world example. UK 2022 Energy Price Guarantee caps specified unit rates, though financing and market design differ from simple ceiling.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 2.7: Price ceiling

(a) [10] Using an appropriate diagram, explain how a binding price ceiling affects producers and consumers differently.

(b) [15] Using real-world examples, discuss whether price ceilings are effective support for low-income households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Lower price for successful buyers, lower quantity supplied and rationing for others.

Expected diagram or calculation. Draw D down and S up, P ceiling below P*, Qd>Qs horizontal shortage; label old E.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price ceiling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower price for successful buyers, lower quantity supplied and rationing for others.

Counterargument and conditions. If non-binding there is no modelled effect; if binding access, quality and long-run supply matter.

Application and real-world example. UK 2022 Energy Price Guarantee caps specified unit rates, though financing and market design differ from simple ceiling.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 2.7: Price ceiling

(a) [10] Explain how a shortage under a binding price ceiling may lead to non-price rationing.

(b) [15] Using real-world examples, evaluate whether queues are preferable to price rationing.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Waiting and selection substitute for price mechanism; access differs.

Expected diagram or calculation. Draw D down and S up, P ceiling below P*, Qd>Qs horizontal shortage; label old E.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price ceiling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Waiting and selection substitute for price mechanism; access differs.

Counterargument and conditions. If non-binding there is no modelled effect; if binding access, quality and long-run supply matter.

Application and real-world example. UK 2022 Energy Price Guarantee caps specified unit rates, though financing and market design differ from simple ceiling.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 2.7: Price ceiling

(a) [10] Using an appropriate diagram, explain how a demand increase affects the shortage under a fixed binding ceiling.

(b) [15] Using real-world examples, discuss whether a ceiling becomes more effective when demand rises.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. D right widens Qd-Qs at controlled P, other conditions fixed.

Expected diagram or calculation. Draw D down and S up, P ceiling below P*, Qd>Qs horizontal shortage; label old E.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price ceiling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. D right widens Qd-Qs at controlled P, other conditions fixed.

Counterargument and conditions. If non-binding there is no modelled effect; if binding access, quality and long-run supply matter.

Application and real-world example. UK 2022 Energy Price Guarantee caps specified unit rates, though financing and market design differ from simple ceiling.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 2.7: Price ceiling

(a) [10] Explain why a rent ceiling may affect the supply of rental housing over time.

(b) [15] Using real-world examples, evaluate whether short-run benefits of rent controls outweigh longer-run costs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Lower rental return can weaken maintenance or entry incentives, conditional on rules.

Expected diagram or calculation. Draw D down and S up, P ceiling below P*, Qd>Qs horizontal shortage; label old E.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price ceiling from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower rental return can weaken maintenance or entry incentives, conditional on rules.

Counterargument and conditions. If non-binding there is no modelled effect; if binding access, quality and long-run supply matter.

Application and real-world example. UK 2022 Energy Price Guarantee caps specified unit rates, though financing and market design differ from simple ceiling.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 2.7: Price floor

(a) [10] Using an appropriate diagram, explain how a binding price floor creates excess supply.

(b) [15] Using real-world examples, discuss whether a minimum price always benefits all producers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Floor above P* gives Qs>Qd; successful sellers get more, unsold output remains.

Expected diagram or calculation. Draw D and S, floor above P*, Qs>Qd; in labour market P is wage and Q is labour.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price floor from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Floor above P* gives Qs>Qd; successful sellers get more, unsold output remains.

Counterargument and conditions. Non-binding floors do not change price; a labour market can differ from simple competitive model.

Application and real-world example. UK National Minimum Wage statutory rates and context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 2.7: Price floor

(a) [10] Explain why a price floor below the equilibrium price is non-binding.

(b) [15] Using real-world examples, evaluate whether a statutory minimum necessarily changes the market price.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Competitive market already clears above floor.

Expected diagram or calculation. Draw D and S, floor above P*, Qs>Qd; in labour market P is wage and Q is labour.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price floor from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Competitive market already clears above floor.

Counterargument and conditions. Non-binding floors do not change price; a labour market can differ from simple competitive model.

Application and real-world example. UK National Minimum Wage statutory rates and context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 2.7: Price floor

(a) [10] Using an appropriate diagram, explain how a minimum wage above equilibrium can create excess labour supplied in the simple model.

(b) [15] Using real-world examples, discuss whether every minimum-wage increase causes unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. At controlled wage Qs of labour exceeds Qd, but real labour markets and demand responses vary.

Expected diagram or calculation. Draw D and S, floor above P*, Qs>Qd; in labour market P is wage and Q is labour.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price floor from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At controlled wage Qs of labour exceeds Qd, but real labour markets and demand responses vary.

Counterargument and conditions. Non-binding floors do not change price; a labour market can differ from simple competitive model.

Application and real-world example. UK National Minimum Wage statutory rates and context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 2.7: Price floor

(a) [10] Explain why a binding price floor can help some sellers while harming others.

(b) [15] Using real-world examples, evaluate whether a higher legal price guarantees higher total revenue for the industry.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Units actually sold may fall even if price per unit rises.

Expected diagram or calculation. Draw D and S, floor above P*, Qs>Qd; in labour market P is wage and Q is labour.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price floor from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Units actually sold may fall even if price per unit rises.

Counterargument and conditions. Non-binding floors do not change price; a labour market can differ from simple competitive model.

Application and real-world example. UK National Minimum Wage statutory rates and context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 2.7: Price floor

(a) [10] Using an appropriate diagram, explain how a fall in demand affects excess supply under a fixed binding floor.

(b) [15] Using real-world examples, discuss whether price floors can remain effective when market conditions change.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. D left raises gap between Qs and Qd at floor.

Expected diagram or calculation. Draw D and S, floor above P*, Qs>Qd; in labour market P is wage and Q is labour.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price floor from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. D left raises gap between Qs and Qd at floor.

Counterargument and conditions. Non-binding floors do not change price; a labour market can differ from simple competitive model.

Application and real-world example. UK National Minimum Wage statutory rates and context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 2.7: Price floor

(a) [10] Explain why minimum wages are a form of price floor rather than a subsidy.

(b) [15] Using real-world examples, evaluate the suitability of minimum wages for improving low-paid workers' incomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Legal wage minimum sets price of labour; gains depend on employment and compliance.

Expected diagram or calculation. Draw D and S, floor above P*, Qs>Qd; in labour market P is wage and Q is labour.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes price floor from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Legal wage minimum sets price of labour; gains depend on employment and compliance.

Counterargument and conditions. Non-binding floors do not change price; a labour market can differ from simple competitive model.

Application and real-world example. UK National Minimum Wage statutory rates and context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 2.7: Indirect tax

(a) [10] Using an appropriate diagram, explain the effects of an indirect tax on buyers and sellers.

(b) [15] Using real-world examples, discuss whether the buyers alone bear the cost of an indirect tax.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Tax shifts S up/left, Pc rises, Pp falls and Q declines; burden shared by response.

Expected diagram or calculation. D/S; S shifts upward by per-unit tax, Pc above Pp, Q after tax, government tax rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes indirect tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tax shifts S up/left, Pc rises, Pp falls and Q declines; burden shared by response.

Counterargument and conditions. Incidence and output depend on D/S responsiveness and scope; do not assume legal payer bears all cost.

Application and real-world example. UK Soft Drinks Industry Levy has sugar thresholds.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 2.7: Indirect tax

(a) [10] Explain how a per-unit indirect tax can raise government revenue.

(b) [15] Using real-world examples, evaluate whether increasing a tax rate always increases tax receipts.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Revenue equals tax per unit times post-tax Q, which may fall.

Expected diagram or calculation. D/S; S shifts upward by per-unit tax, Pc above Pp, Q after tax, government tax rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes indirect tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue equals tax per unit times post-tax Q, which may fall.

Counterargument and conditions. Incidence and output depend on D/S responsiveness and scope; do not assume legal payer bears all cost.

Application and real-world example. UK Soft Drinks Industry Levy has sugar thresholds.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 2.7: Indirect tax

(a) [10] Using an appropriate diagram, explain how an indirect tax can reduce consumption.

(b) [15] Using real-world examples, discuss whether a tax is effective in changing behaviour when consumers have few alternatives.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Higher consumer price reduces Q along D, magnitude depends on responsiveness.

Expected diagram or calculation. D/S; S shifts upward by per-unit tax, Pc above Pp, Q after tax, government tax rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes indirect tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher consumer price reduces Q along D, magnitude depends on responsiveness.

Counterargument and conditions. Incidence and output depend on D/S responsiveness and scope; do not assume legal payer bears all cost.

Application and real-world example. UK Soft Drinks Industry Levy has sugar thresholds.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 2.7: Indirect tax

(a) [10] Explain how a tax on a sugary drink may encourage producers to alter its formulation.

(b) [15] Using real-world examples, evaluate whether an indirect tax aimed at consumption can change producer decisions too.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Tax threshold can reward reformulation; response depends on cost and preferences.

Expected diagram or calculation. D/S; S shifts upward by per-unit tax, Pc above Pp, Q after tax, government tax rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes indirect tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tax threshold can reward reformulation; response depends on cost and preferences.

Counterargument and conditions. Incidence and output depend on D/S responsiveness and scope; do not assume legal payer bears all cost.

Application and real-world example. UK Soft Drinks Industry Levy has sugar thresholds.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 2.7: Indirect tax

(a) [10] Using an appropriate diagram, explain why a tax creates a difference between the price paid by buyers and the price received by sellers.

(b) [15] Using real-world examples, discuss whether the tax's legal payer determines its economic burden.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Pc-Pp equals per-unit tax; market responses determine incidence.

Expected diagram or calculation. D/S; S shifts upward by per-unit tax, Pc above Pp, Q after tax, government tax rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes indirect tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Pc-Pp equals per-unit tax; market responses determine incidence.

Counterargument and conditions. Incidence and output depend on D/S responsiveness and scope; do not assume legal payer bears all cost.

Application and real-world example. UK Soft Drinks Industry Levy has sugar thresholds.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 2.7: Indirect tax

(a) [10] Explain how the consequences of an indirect tax differ for government and producers.

(b) [15] Using real-world examples, evaluate whether tax revenue outweighs the costs for affected sellers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Government gains receipts while sellers may face lower net price and sales.

Expected diagram or calculation. D/S; S shifts upward by per-unit tax, Pc above Pp, Q after tax, government tax rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes indirect tax from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Government gains receipts while sellers may face lower net price and sales.

Counterargument and conditions. Incidence and output depend on D/S responsiveness and scope; do not assume legal payer bears all cost.

Application and real-world example. UK Soft Drinks Industry Levy has sugar thresholds.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 2.7: Subsidy

(a) [10] Using an appropriate diagram, explain how a per-unit subsidy affects price and quantity in a competitive market.

(b) [15] Using real-world examples, discuss whether subsidies always make goods affordable for consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. S down/right, consumer P falls, producer receipts rise, Q rises if demand fixed.

Expected diagram or calculation. D/S, S shifts downward by per-unit subsidy, Pp above Pc, Q increases; expenditure rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. S down/right, consumer P falls, producer receipts rise, Q rises if demand fixed.

Counterargument and conditions. Cost and who gains depend on responsiveness, take-up and coverage.

Application and real-world example. A documented producer subsidy with its exact payment design; hypothetical unit payment acceptable in (a).

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 2.7: Subsidy

(a) [10] Explain how a producer subsidy affects the government's budget.

(b) [15] Using real-world examples, evaluate whether the benefits of a subsidy justify its fiscal cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Expenditure is subsidy per unit times subsidised Q.

Expected diagram or calculation. D/S, S shifts downward by per-unit subsidy, Pp above Pc, Q increases; expenditure rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Expenditure is subsidy per unit times subsidised Q.

Counterargument and conditions. Cost and who gains depend on responsiveness, take-up and coverage.

Application and real-world example. A documented producer subsidy with its exact payment design; hypothetical unit payment acceptable in (a).

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 2.7: Subsidy

(a) [10] Using an appropriate diagram, explain why the price received by producers can differ from the price paid by consumers after a subsidy.

(b) [15] Using real-world examples, discuss whether producers receive all benefits of a subsidy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Pp-Pc equals per-unit subsidy, gains shared through market responses.

Expected diagram or calculation. D/S, S shifts downward by per-unit subsidy, Pp above Pc, Q increases; expenditure rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Pp-Pc equals per-unit subsidy, gains shared through market responses.

Counterargument and conditions. Cost and who gains depend on responsiveness, take-up and coverage.

Application and real-world example. A documented producer subsidy with its exact payment design; hypothetical unit payment acceptable in (a).

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 2.7: Subsidy

(a) [10] Explain how a subsidy may support producers even if consumers pay a lower price.

(b) [15] Using real-world examples, evaluate whether supporting firms is sufficient reason for a subsidy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Net receipt includes payment, and output can rise; opportunity cost of funds matters.

Expected diagram or calculation. D/S, S shifts downward by per-unit subsidy, Pp above Pc, Q increases; expenditure rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Net receipt includes payment, and output can rise; opportunity cost of funds matters.

Counterargument and conditions. Cost and who gains depend on responsiveness, take-up and coverage.

Application and real-world example. A documented producer subsidy with its exact payment design; hypothetical unit payment acceptable in (a).

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 2.7: Subsidy

(a) [10] Using an appropriate diagram, explain why removing a subsidy can raise the price paid by consumers.

(b) [15] Using real-world examples, discuss whether removing subsidies necessarily harms every stakeholder.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. S shifts back left/up, Q falls and Pc rises if D fixed; taxpayers may save.

Expected diagram or calculation. D/S, S shifts downward by per-unit subsidy, Pp above Pc, Q increases; expenditure rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. S shifts back left/up, Q falls and Pc rises if D fixed; taxpayers may save.

Counterargument and conditions. Cost and who gains depend on responsiveness, take-up and coverage.

Application and real-world example. A documented producer subsidy with its exact payment design; hypothetical unit payment acceptable in (a).

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 2.7: Subsidy

(a) [10] Explain how a subsidy could increase consumption of a service.

(b) [15] Using real-world examples, evaluate whether subsidy is more effective than direct government provision.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Lower buyer price and higher output may improve access; targeting and coverage differ.

Expected diagram or calculation. D/S, S shifts downward by per-unit subsidy, Pp above Pc, Q increases; expenditure rectangle when relevant.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower buyer price and higher output may improve access; targeting and coverage differ.

Counterargument and conditions. Cost and who gains depend on responsiveness, take-up and coverage.

Application and real-world example. A documented producer subsidy with its exact payment design; hypothetical unit payment acceptable in (a).

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 2.7: Direct provision

(a) [10] Explain how direct public provision differs from subsidising private firms.

(b) [15] Using real-world examples, discuss whether a government must itself produce a service to make it accessible.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Government supplies service directly versus paying private providers, with different control.

Expected diagram or calculation. No compulsory D/S intervention diagram; explain who provides and funds the service.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes direct provision from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Government supplies service directly versus paying private providers, with different control.

Counterargument and conditions. Budget opportunity cost, eligibility and capacity influence access.

Application and real-world example. UK NHS service provision as a public-service example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 2.7: Direct provision

(a) [10] Explain why government may directly provide a service to low-income households.

(b) [15] Using real-world examples, evaluate whether direct provision ensures equitable access.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Direct service can bypass purchase price but location and capacity matter.

Expected diagram or calculation. No compulsory D/S intervention diagram; explain who provides and funds the service.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes direct provision from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Direct service can bypass purchase price but location and capacity matter.

Counterargument and conditions. Budget opportunity cost, eligibility and capacity influence access.

Application and real-world example. UK NHS service provision as a public-service example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 2.7: Direct provision

(a) [10] Explain two possible effects of direct provision on consumers and producers.

(b) [15] Using real-world examples, discuss whether public provision necessarily displaces private supply.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Availability rises; extent of displacement depends on substitutability and funding.

Expected diagram or calculation. No compulsory D/S intervention diagram; explain who provides and funds the service.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes direct provision from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Availability rises; extent of displacement depends on substitutability and funding.

Counterargument and conditions. Budget opportunity cost, eligibility and capacity influence access.

Application and real-world example. UK NHS service provision as a public-service example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 2.7: Direct provision

(a) [10] Explain why the financing of direct provision involves an opportunity cost.

(b) [15] Using real-world examples, evaluate whether free-at-point-of-use services have no economic cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Labour/capital used have alternative uses even if user pays zero.

Expected diagram or calculation. No compulsory D/S intervention diagram; explain who provides and funds the service.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes direct provision from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Labour/capital used have alternative uses even if user pays zero.

Counterargument and conditions. Budget opportunity cost, eligibility and capacity influence access.

Application and real-world example. UK NHS service provision as a public-service example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 2.7: Regulation

(a) [10] Explain how command-and-control regulation differs from a tax.

(b) [15] Using real-world examples, discuss whether regulation can change behaviour more predictably than a price incentive.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Rule requires or forbids conduct; tax changes relative cost; enforcement matters.

Expected diagram or calculation. No universal diagram for command-and-control; if drawn specify the exact cost or output effect.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes regulation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rule requires or forbids conduct; tax changes relative cost; enforcement matters.

Counterargument and conditions. Enforcement, compliance costs and unintended responses vary.

Application and real-world example. UK minimum-wage legislation or product standards, specified accurately.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 2.7: Regulation

(a) [10] Explain how legislation can affect firms' production decisions.

(b) [15] Using real-world examples, evaluate whether legal standards are sufficient to change market outcomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Compliance may change costs, methods or allowable output.

Expected diagram or calculation. No universal diagram for command-and-control; if drawn specify the exact cost or output effect.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes regulation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Compliance may change costs, methods or allowable output.

Counterargument and conditions. Enforcement, compliance costs and unintended responses vary.

Application and real-world example. UK minimum-wage legislation or product standards, specified accurately.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 2.7: Regulation

(a) [10] Explain why monitoring and enforcement matter for a government regulation.

(b) [15] Using real-world examples, discuss whether a law's existence proves it is effective.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Noncompliance weakens intended change when detection and penalties inadequate.

Expected diagram or calculation. No universal diagram for command-and-control; if drawn specify the exact cost or output effect.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes regulation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Noncompliance weakens intended change when detection and penalties inadequate.

Counterargument and conditions. Enforcement, compliance costs and unintended responses vary.

Application and real-world example. UK minimum-wage legislation or product standards, specified accurately.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 2.7: Regulation

(a) [10] Explain how a regulation may impose different costs on small and large firms.

(b) [15] Using real-world examples, evaluate whether uniform regulation treats producers equitably.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Fixed compliance cost may weigh more heavily on small producers.

Expected diagram or calculation. No universal diagram for command-and-control; if drawn specify the exact cost or output effect.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes regulation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fixed compliance cost may weigh more heavily on small producers.

Counterargument and conditions. Enforcement, compliance costs and unintended responses vary.

Application and real-world example. UK minimum-wage legislation or product standards, specified accurately.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 2.7: Stakeholders

(a) [10] Explain why the same intervention can benefit some consumers and harm others.

(b) [15] Using real-world examples, evaluate whether lower regulated prices always improve consumer welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Access, rationing and tax funding create different effects across buyers.

Expected diagram or calculation. Use instrument-specific D/S with correctly labelled regulated P or price wedge.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes stakeholders from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Access, rationing and tax funding create different effects across buyers.

Counterargument and conditions. Gains for one group need not be gains for every person in the group.

Application and real-world example. UK sugar levy, minimum wage or public provision as context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 2.7: Stakeholders

(a) [10] Explain why indirect taxes and subsidies have different consequences for taxpayers.

(b) [15] Using real-world examples, discuss whether government revenue should be the main criterion for choosing an intervention.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Tax raises receipts; subsidy costs funds; other objectives matter.

Expected diagram or calculation. Use instrument-specific D/S with correctly labelled regulated P or price wedge.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes stakeholders from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tax raises receipts; subsidy costs funds; other objectives matter.

Counterargument and conditions. Gains for one group need not be gains for every person in the group.

Application and real-world example. UK sugar levy, minimum wage or public provision as context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 2.7: Stakeholders

(a) [10] Explain how a price floor and a price ceiling create different forms of disequilibrium.

(b) [15] Using real-world examples, evaluate which control better protects vulnerable households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Floor above P* surplus, ceiling below P* shortage; target and market matter.

Expected diagram or calculation. Use instrument-specific D/S with correctly labelled regulated P or price wedge.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes stakeholders from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Floor above P* surplus, ceiling below P* shortage; target and market matter.

Counterargument and conditions. Gains for one group need not be gains for every person in the group.

Application and real-world example. UK sugar levy, minimum wage or public provision as context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 2.7: Stakeholders

(a) [10] Explain why policy outcomes depend on responses by both buyers and sellers.

(b) [15] Using real-world examples, discuss whether a diagram alone predicts who ultimately benefits from intervention.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. D and S adjust to price wedges or controls; empirical responsiveness matters.

Expected diagram or calculation. Use instrument-specific D/S with correctly labelled regulated P or price wedge.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes stakeholders from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. D and S adjust to price wedges or controls; empirical responsiveness matters.

Counterargument and conditions. Gains for one group need not be gains for every person in the group.

Application and real-world example. UK sugar levy, minimum wage or public provision as context.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 2.7: HL nudge

(a) [10] Explain how a consumer nudge differs from a legal ban or price control.

(b) [15] Using real-world examples, discuss whether nudges preserve greater consumer autonomy than regulation.

Part (a) - Indicative answer and marking guidance

Essential concepts. A nudge changes choice architecture while leaving options available. A default applies when the person does nothing; framing changes presentation.

Required reasoning. Choice architecture alters presentation while retaining formal options.

Expected diagram or calculation. No compulsory diagram for a nudge; compare mechanisms rather than equilibrium wedges.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl nudge from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Choice architecture alters presentation while retaining formal options.

Counterargument and conditions. Some designs make opt-out difficult and constrain effective choice.

Application and real-world example. UK pension automatic enrolment versus a legal minimum wage.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 2.7: HL nudge

(a) [10] Explain how a default option can change consumer choices without changing prices.

(b) [15] Using real-world examples, evaluate whether automatic enrolment is effective solely because of the default.

Part (a) - Indicative answer and marking guidance

Essential concepts. A nudge changes choice architecture while leaving options available. A default applies when the person does nothing; framing changes presentation.

Required reasoning. Inaction selects default, altering participation.

Expected diagram or calculation. No compulsory diagram; distinguish participation from welfare.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl nudge from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Inaction selects default, altering participation.

Counterargument and conditions. Information, employer contributions and incentives also change outcomes.

Application and real-world example. UK workplace pensions automatic enrolment.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 2.7: HL nudge

(a) [10] Explain why providing information and changing a default may have different effects on consumers.

(b) [15] Using real-world examples, discuss whether information alone is enough to change behaviour.

Part (a) - Indicative answer and marking guidance

Essential concepts. A nudge changes choice architecture while leaving options available. A default applies when the person does nothing; framing changes presentation.

Required reasoning. Information changes knowledge; default changes outcome if no action.

Expected diagram or calculation. No compulsory diagram; identify actual choice set.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl nudge from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Information changes knowledge; default changes outcome if no action.

Counterargument and conditions. Preferences and ability to act influence both.

Application and real-world example. England organ-donation opt-out and public campaign.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 2.7: HL nudge

(a) [10] Explain how framing can be used to influence consumers without restricting choices.

(b) [15] Using real-world examples, evaluate ethical concerns arising from government nudges.

Part (a) - Indicative answer and marking guidance

Essential concepts. A nudge changes choice architecture while leaving options available. A default applies when the person does nothing; framing changes presentation.

Required reasoning. Presentation makes one consequence salient while options remain.

Expected diagram or calculation. No compulsory diagram; distinguish framing from legal mandate.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl nudge from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Presentation makes one consequence salient while options remain.

Counterargument and conditions. Transparency and ability to opt out determine autonomy.

Application and real-world example. An organ-donation communication campaign with safeguards.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 2.7: HL nudge

(a) [10] Explain why the effectiveness of a nudge may vary across groups of consumers.

(b) [15] Using real-world examples, discuss whether a uniform nudge is suitable for all households.

Part (a) - Indicative answer and marking guidance

Essential concepts. A nudge changes choice architecture while leaving options available. A default applies when the person does nothing; framing changes presentation.

Required reasoning. Preferences and constraints lead to heterogeneous reactions.

Expected diagram or calculation. No compulsory diagram; do not presume nudged outcome is best.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl nudge from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Preferences and constraints lead to heterogeneous reactions.

Counterargument and conditions. Low cost and broad reach may still make design useful.

Application and real-world example. Different pension enrolment responses by income group.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 2.7: HL calculations

(a) [10] A binding ceiling is $6; at that price quantity demanded is 100 and quantity supplied is 60. Calculate the shortage and explain its significance.

(b) [15] Using real-world examples, discuss whether a measured shortage captures all effects of a price ceiling.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Shortage 40 units, Qd-Qs, with non-price rationing.

Expected diagram or calculation. Draw D/S P/Q, horizontal $6 below equilibrium and gap from 60 to 100.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl calculations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Shortage 40 units, Qd-Qs, with non-price rationing.

Counterargument and conditions. Quality, waiting and informal allocation are not measured.

Application and real-world example. Rental market maximum price as contextual example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 2.7: HL calculations

(a) [10] A binding floor is $12; at that price quantity supplied is 90 and quantity demanded is 50. Calculate excess supply and explain its significance.

(b) [15] Using real-world examples, evaluate whether all suppliers benefit from a price floor.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Excess supply 40, Qs-Qd; units sold at most 50 absent purchases.

Expected diagram or calculation. Draw D/S P/Q, floor above equilibrium and gap Qd50 to Qs90.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl calculations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Excess supply 40, Qs-Qd; units sold at most 50 absent purchases.

Counterargument and conditions. Some sellers may fail to sell.

Application and real-world example. UK statutory minimum wage as a floor, with model caveats.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 2.7: HL calculations

(a) [10] A per-unit tax is $3, the buyer price is $11 and the seller receives $8 after tax; quantity sold is 40. Calculate tax revenue and the buyer's and seller's per-unit burden if the original price was $9.

(b) [15] Using real-world examples, discuss whether tax incidence is always borne by the legally taxed firm.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Revenue $120; buyer burden $2, seller burden $1; wedge $3.

Expected diagram or calculation. D/S shift S up by $3; label original $9, Pc11, Pp8, Q40.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl calculations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue $120; buyer burden $2, seller burden $1; wedge $3.

Counterargument and conditions. Response of D/S matters; original price needed for shares.

Application and real-world example. UK soft-drink levy provides tax design, numbers hypothetical.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 2.7: HL calculations

(a) [10] A per-unit subsidy is $4; after intervention consumers pay $7 and firms receive $11 for 50 units. Calculate government spending and explain the price wedge.

(b) [15] Using real-world examples, evaluate whether the fiscal cost is sufficient to judge a subsidy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Spending $200; producer receipt minus buyer price $4.

Expected diagram or calculation. D/S with S down by $4 and buyer/producer prices labelled.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl calculations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spending $200; producer receipt minus buyer price $4.

Counterargument and conditions. Benefits and alternative use of public funds matter.

Application and real-world example. A documented unit-linked subsidy is appropriate, figures hypothetical.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 2.7: HL calculations

(a) [10] After an indirect tax, buyers pay $15, producers receive $10 and 30 units are traded. Calculate tax per unit and total tax revenue, and explain what more information is needed to calculate incidence.

(b) [15] Using real-world examples, discuss whether a larger tax per unit guarantees more revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government can influence market outcomes with maximum/minimum prices, indirect taxes, producer subsidies, direct provision and regulation. A binding ceiling is below P*, a binding floor above P*; per-unit taxes raise seller costs and per-unit subsidies lower them.

Required reasoning. Tax $5; revenue $150; original equilibrium price needed for buyer/seller burden.

Expected diagram or calculation. D/S show tax wedge $5 at Q30; no invented pre-tax price.

Common misconceptions. Do not draw a binding ceiling above equilibrium or a binding floor below it, and do not treat seller revenue as government tax revenue. For this question, check specifically that the student distinguishes hl calculations from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tax $5; revenue $150; original equilibrium price needed for buyer/seller burden.

Counterargument and conditions. Quantity response varies.

Application and real-world example. UK sugar levy with separate hypothetical figures.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

G. IB Economics guide, first assessment 2022, Topic 2.7, printed pp. 29-30.

Open source

A. UK Government, National Minimum Wage 2025 rates; a statutory wage floor.

Open source

B. HMRC, Soft Drinks Industry Levy statistics and thresholds.

Open source

C. UK Energy Price Guarantee October-December 2022 unit rates; actual design includes funding and is more complex than a simple ceiling.

Open source

D. UK Government, organ donation opt-out as choice-architecture example; eligibility and safeguards matter.

Open source

Final checks

50 paired questions; 10 Easy / 25 Medium / 15 Hard; Questions 1-40 are SL/HL. Questions 41-45 cover HL-only consumer nudges and 46-50 HL-only numerical effects of intervention. The student paper contains no answers or difficulty labels.